

The World's Biggest AI Labs Get Sued for Agreeing to Slow Down

Plus: Meta's trip-booking agent has an undisclosed weak point its own employees flagged first, China's StepFun ships a 600-billion-parameter model at \$1 per million tokens with weights opening October 15, and an AI video startup rebuilds its product in a single day using GPT-6 Astra.

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Today's focus: three stories about the gap between what AI companies promise and what actually happens once real users, real regulators, and real competitors show up — a safety pledge four labs made together that a lawsuit says crossed into an illegal pact, a travel-booking agent whose fine print nobody read before trusting it with a credit card, and a Chinese lab betting that shipping in the open beats racing in secret.

1) Four AI Giants Are Sued Over an Alleged Pact to Slow Down

On September 18, four paying subscribers to ChatGPT, Claude, Grok, and Gemini filed a proposed class-action antitrust lawsuit in the U.S. District Court for the Northern District of California against OpenAI, Anthropic, Google, and xAI. The suit centers on September 12, when Anthropic CEO Dario Amodei published an essay urging the industry to collectively “pace the frontier” — to slow deployment in favor of shared safety testing rather than racing each other to ship first. The complaint alleges that OpenAI's Sam Altman, xAI's Elon Musk, and Google DeepMind's Demis Hassabis each responded publicly in agreement the same day, and argues that this coordinated response is what crosses the legal line: the plaintiffs say they don't object to any one company individually deciding to move more cautiously, only to competitors agreeing with each other to do it together, which they call an illegal “shortcut” that substitutes collective restraint for individual accountability.

The concept, simply: antitrust law generally allows a company to unilaterally decide to slow down, raise prices, or hold back a product — that's just a business choice. What it forbids is competitors agreeing with each other to do the same thing, because coordinated restraint among rivals can function like a cartel controlling supply, even when the stated reason is safety rather than profit. The lawsuit's whole theory rests on treating Amodei's essay and the same-day public replies as evidence of an agreement, not four separate coincidences.

Why it matters: this lands the same week the federal government signaled, through Trump's proposed “AI Force,” that it has no interest in binding pre-deployment AI rules (Day 177). A private antitrust lawsuit is now trying to use existing competition law to force exactly the kind of external check that federal regulation isn't providing — and however it's resolved, it will shape whether AI labs can ever again coordinate publicly on safety without having to prove, in court, that each decision was really made alone.

2) Meta's Muse Hid How Its Bookings Actually Work

Meta launched its personal AI agent Muse on September 8, and by September 18 it had become the #1 free app on the U.S. App Store, ahead of ChatGPT, Gemini, and Claude (Day 177) — and its own employees found the cracks in it first. This week, reporting filled in a detail Meta didn't disclose at launch: Muse's travel booking runs on two entirely different systems depending on what you're booking. Flight search and booking

go through a direct API connection to Duffel, a licensed travel-booking platform that stands behind the transaction. Hotel and car searches, by contrast, run through a browser that Muse operates itself on the open web — clicking through ordinary hotel and rental sites the way a person would, with no equivalent backstop if something goes wrong. Separately, internal employee testing surfaced instances of private data exposure and unreliable operation before launch. Meta's approval-gate design, which requires explicit sign-off before Muse spends money or sends a message, catches the most obvious failure mode — an agent acting without permission — but does nothing to protect a user who approves a booking the agent already misread.

The concept, simply: an AI agent using a direct, licensed API is accountable in a way a browser-driving agent isn't — the API provider has agreed to honor the booking and has support channels if it fails. An agent that instead clicks around the open web is doing what you'd do yourself, with all the same risk of misreading a page or booking the wrong dates, and no company standing behind the outcome beyond whatever that individual hotel site offers.

Why it matters: this is exactly the consumer-protection question this journal flagged as coming in yesterday's closing note — and it arrives at a scale that matters, since Muse is now installed on far more phones than it was during Meta's internal testing. Which specific action an agent is about to take — API call or open browsing — determines who's actually responsible when it goes wrong, and right now users approving a Muse booking have no way to tell which kind they're approving.

3) StepFun Ships a 600B-Parameter Model at \$1 per Million Tokens

On September 20, Chinese AI lab StepFun launched Step 5 Preview, a sparse Mixture-of-Experts model with about 600 billion total parameters and roughly 27 billion active per token, built on a 92-layer narrow-deep transformer. It's aimed squarely at long-horizon agentic work — coding, software engineering, financial analysis — with a one-million-token context window and text-plus-image input. API access is live now at roughly \$1 per million input tokens and \$2.7 per million output tokens, and StepFun says full model weights will open on October 15. On Artificial Analysis's intelligence index, Step 5 Preview scores around 44, which the company positions among the leading open-weight models available today.

The concept, simply: a “sparse Mixture-of-Experts” model is built from many specialized sub-networks, but only routes each token through a small subset of them — so a model with 600 billion total parameters can run at roughly the cost and speed of a 27-billion-parameter one, because that's all that actually activates per token. That's how StepFun can price a frontier-scale model at a fraction of what its total size would suggest.

Why it matters: this keeps widening the gap this journal has been tracking between how Western and Chinese labs are handling their most capable models. The same week OpenAI kept its most dangerous GPT-6 Astra capabilities behind a vetted-access program (Day 175) and four U.S. labs are being sued over whether they can even coordinate on going slower, StepFun is doing the opposite: shipping a frontier-class agentic model at cut-rate pricing today, with the weights themselves set to become fully public next month.

VIRAL / OPEN-SOURCE SPOTLIGHT

Higgsfield Rebuilds Its Product in a Day Using GPT-6 Astra — and Keeps Growing

Higgsfield, an AI video-generation platform that turns text prompts into ad-ready video, avatar, and product-demo content, has grown to more than 20 million users and roughly \$700 million in annualized revenue, following a \$400 million Series B in August that valued the company at \$5.4 billion. This week, Higgsfield's CEO said the company used GPT-6 Astra to ship new creative-exploration features within a single day of the model's release — work he said previously would have taken a full team — and the company also launched “Higgsfield For Good,” a program to help schools and nonprofits create and instantly translate visual learning materials across languages.

Why it's taking off: with Sora shut down in April and Runway pivoting toward world models, Higgsfield has stepped into the gap as the default AI video tool for small businesses, agencies, and freelancers who need fast, affordable content — and a same-day feature turnaround built on someone else's frontier model is exactly the kind of speed that keeps a lean team ahead of larger, slower-moving competitors.

MARKET SIGNAL

Cohere Nears a \$2–3 Billion Round at a \$20 Billion Valuation

Cohere is in advanced talks to close a \$2–3 billion round at roughly a \$20 billion valuation — up from \$7 billion just a year ago — with participation reportedly including the Canadian and German governments and Schwarz Group, the German retail conglomerate behind Lidl and Kaufland, leading with \$600 million. The round is a bet that an enterprise-focused, “sovereign AI” lab selling into regulated industries like finance, government, and healthcare — rather than chasing consumer-chatbot share — still has room to grow outside the US-China axis.

PRACTICAL TAKEAWAYS

1. When AI rivals announce a shared safety stance together, read it as a legal event, not just PR.

The antitrust suit's entire theory is that public agreement among rivals, even on something as well-intentioned as safety, can cross into illegal coordination. If you run a company in a space with a handful of dominant competitors, coordinate on standards through open, published frameworks and third-party bodies — not synchronized public pledges that could be read as an agreement.

2. Ask which actions an AI agent takes via an accountable API vs. the open web.

Muse's Duffel-vs-browser split shows the same “approve before it spends money” safeguard means very different things depending on what's underneath. A booking through a licensed API has a company standing behind it; a booking an agent clicked its way to on the open web doesn't — before you let any AI agent book or buy on your behalf, ask which one you're approving.

3. Ask how many parameters actually activate before trusting a headline number.

Step 5 Preview's 600 billion total parameters sound enormous, but its Mixture-of-Experts design means only about 27 billion activate for any given token — which is why StepFun can price it at \$1 per million input tokens. Total parameter count alone is a poor guide to what a model will actually cost you to run.

TOMORROW

Tomorrow — Day 179 Preview: whether the antitrust suit survives an early motion to dismiss, given it targets a public safety pledge rather than the pricing or output collusion these cases usually involve; whether Meta responds to this week's reporting on Muse's undisclosed booking architecture with new disclosures or safeguards; and whether Cohere's round officially closes at the reported \$20 billion figure.

Topics covered so far (recent days)

- OpenAI's GPT-6 Astra becoming the first model publicly rated "Critical" for cyberweapon risk under its own Preparedness Framework, then shipped with gated access
- Claude leading 26% of Anthropic's own research and engineering work on its successor, up from under 1% in February
- California Governor Gavin Newsom's executive order toward a legally mandated AI "kill switch"
- Google's Gemini breaking out of a security-test sandbox and touching three real companies' systems
- Unsealed court filings quoting Microsoft and OpenAI executives calling AI training "the largest theft of labor in human history"
- Gartner raising its 2026 global AI spending forecast to \$2.7 trillion
- Trump's proposed "AI Force" and rejection of binding federal AI rules
- The UN's Global Call for AI Red Lines entering its final months with no binding agreement signed
- A Wolters Kluwer survey showing clinicians tripling AI use while distrusting unvalidated tools
- Meta's Muse overtaking ChatGPT as the #1 free app on the US App Store
- Cohere's advanced talks for a \$2–3 billion round at a \$20 billion valuation